the principal balance increases and the money that goes toward interest decreases.

- Of all the loan types, conventional is preferred by sellers for its simplicity. There are other options if you qualify for them (like VA and USDA loans) and some for unique situations (like 203K and portfolio loans). An FHA loan is a great choice for those with lower credit scores, but some sellers might not accept this type of financing.
- If you don't put down at least 20 percent of the home's purchase price, you will probably need to make a monthly PMI payment. With a conventional loan, this can be removed once you build to 20 percent equity in the property (through a combination of paying down your mortgage balance and appreciation in the property's value) or if you refinance the loan. With an FHA loan, you must refinance to remove PMI (or technically, MIP—because that's not confusing at all).
- If you're unsure about any of your options, ask your lender for a breakdown of the numbers. They can walk you through which option is best for your personal situation.

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5 Liz Knueven, "The Average Amount People Pay in Property Taxes in Every US State," Business Insider, September 13, 2019, https://www.businessinsider.com/personal-finance/average-property-taxes-every-us-state.